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Via email: rule-comments@sec.gov

Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-1090

**Re: Proposed Rule on Semiannual Reporting; File Number S7-2026-15**

Dear Office of the Secretary:

Baker Tilly US, LLP ("Baker Tilly", "we" or "our") appreciates the opportunity to share our views and provide input on the Securities and Exchange Commission's ("Commission" or "SEC") File No. S7-2026-15, *Proposed Rule on Semiannual Reporting* (the "Proposed Rule" or "Proposal")[1], which would provide all companies subject to reporting obligations under Exchange Act Section 13(a) or 15(d) ("reporting companies") that file quarterly reports the option to file interim reports on a semiannual basis.

Overall, Baker Tilly is supportive of the Commission's efforts to reduce the regulatory burdens of being a reporting company and to encourage more companies not only to go, but also remain, public in order to further the facilitation of capital formation. We are also cognizant of the need to balance those efforts with the two other prongs of the Commission's three-part mission to protect investors and maintain fair, orderly, and efficient markets. In this letter, we comment through the lens of a public company auditor serving a broad spectrum of smaller and middle-market public clients, registered broker-dealers, and other stakeholders in the US capital markets, providing the following overarching observations to matters raised in the Proposal where we feel best served to provide input.

If the Commission decides to permit semiannual reporting, we support the flexibility permitted by the Proposal to allow reporting companies the option to elect on an annual basis to file semiannual reports instead of quarterly reports. The Proposal acknowledges that a company's determination of reporting frequency would likely "reflect a combination of firm-specific, market-based, and institutional considerations", and highlights that factors such as "(F)irm size, operating complexity, growth stage, and seasonality of business operations may influence both the perceived costs of quarterly reporting and the perceived benefits of more frequent disclosure." We agree with these observations, but further observe that the need (or desire) to access capital markets (including the anticipated frequency of accessing capital markets) will likely be a significant determining factor in a reporting company's determination of whether to elect to file semiannual reports instead of quarterly reports.

As noted in the Proposal, underwriters often request independent public accountants to provide "comfort letters" in securities offerings to support potential due diligence defenses. Auditors support strong capital markets by serving an important role in enhancing the quality and reliability of certain financial information disclosed in

[1] *Proposed Rule on Semiannual Reporting*; Release Nos. 33-11414; 34-105368; 39-2563; IC-36140; File No. S7-2026-15) [hereinafter "Proposed Rule" or "Proposal"].

Commission filings to enhance investor protection. We believe the amendments within the Proposal are generally workable as proposed. Further, we believe PCAOB AS 6101, *Letters for Underwriters and Certain Other Requesting Parties*, currently accommodates auditors' ability to provide comfort letters under both a quarterly and semiannual reporting framework, and that the PCAOB standards as a whole are operational in their current form for comfort letters.

Notwithstanding the above, if companies elect semiannual reporting, we believe that reporting companies may choose a hybrid reporting approach and choose to provide financial information outside of Commission filings or present information that is not a full set of interim financial statements. Investors and/or other stakeholders may either (i) expect and/or assume a level of auditor involvement over that information given the historical requirements of Form 10-Q or (ii) require it (for example, in the context of a comfort letter in a securities offering). If assurance is desired in response to stakeholder preferences, underwriter needs or Commission requirements, the current PCAOB standards do not permit the provision of attest services (i.e. audit or review) over financial information that is not a full set of interim financial statements (with supporting footnotes). As such, we observe that reporting companies and their audit committees may request auditors to perform procedures akin to those outlined in AS 4105, *Reviews of Interim Financial Information* ("AS 4105"), over their quarterly earnings releases or over interim financial statements that exclude all or some footnotes required by the Financial Accounting Standards Board's Accounting Standards Codification Topic 270, *Interim Reporting*, which is not currently permitted under AS 4105 or other frameworks available to an auditor. Further we have also considered the potential impact of the hybrid reporting approach and believe there may be increased risk for less reliable financial information to be provided to investors when such information does not comprise a full set of interim financial statements and is therefore not subject to the entirety of management's broader financial reporting close process.

We believe that providing reporting companies the flexibility to determine the frequency of interim reporting that best suits the company and its investors acknowledges that a "one size fits all" approach may be too restrictive. We also believe that optionality is consistent with the Commission's goal of establishing minimum requirements and allowing market participants to dictate reporting beyond those baseline standards. However, we have also considered whether the Commission's proposal addresses the root cause of interim reporting burdens felt by reporting companies such that rulemaking efforts may be better directed at revising the *extent* of interim disclosure requirements instead of the frequency of reporting. We suggest that the Commission study the root cause of the interim reporting burdens, including performing outreach to public reporting companies and investors directly, to assess whether providing optionality in frequency of interim reporting is the most effective means of addressing reducing regulatory burdens associated with interim reporting, or rather, whether reductions of interim disclosures or other alternatives would more directly address the hurdles faced by public companies.

We thank you for the opportunity to present our views and appreciate your consideration. We would be pleased to discuss our comments or answer questions regarding the views expressed in this letter. Please address questions to Fred Frank, Principal in our Professional Practice Group, by e-mail at Fred.Frank@bakertilly.com or Kathie Hennessey, Managing Director in our Professional Practice Group, by e-mail at Kathie.Hennessey@bakertilly.com.

Sincerely,

Baker Tilly US, LLP